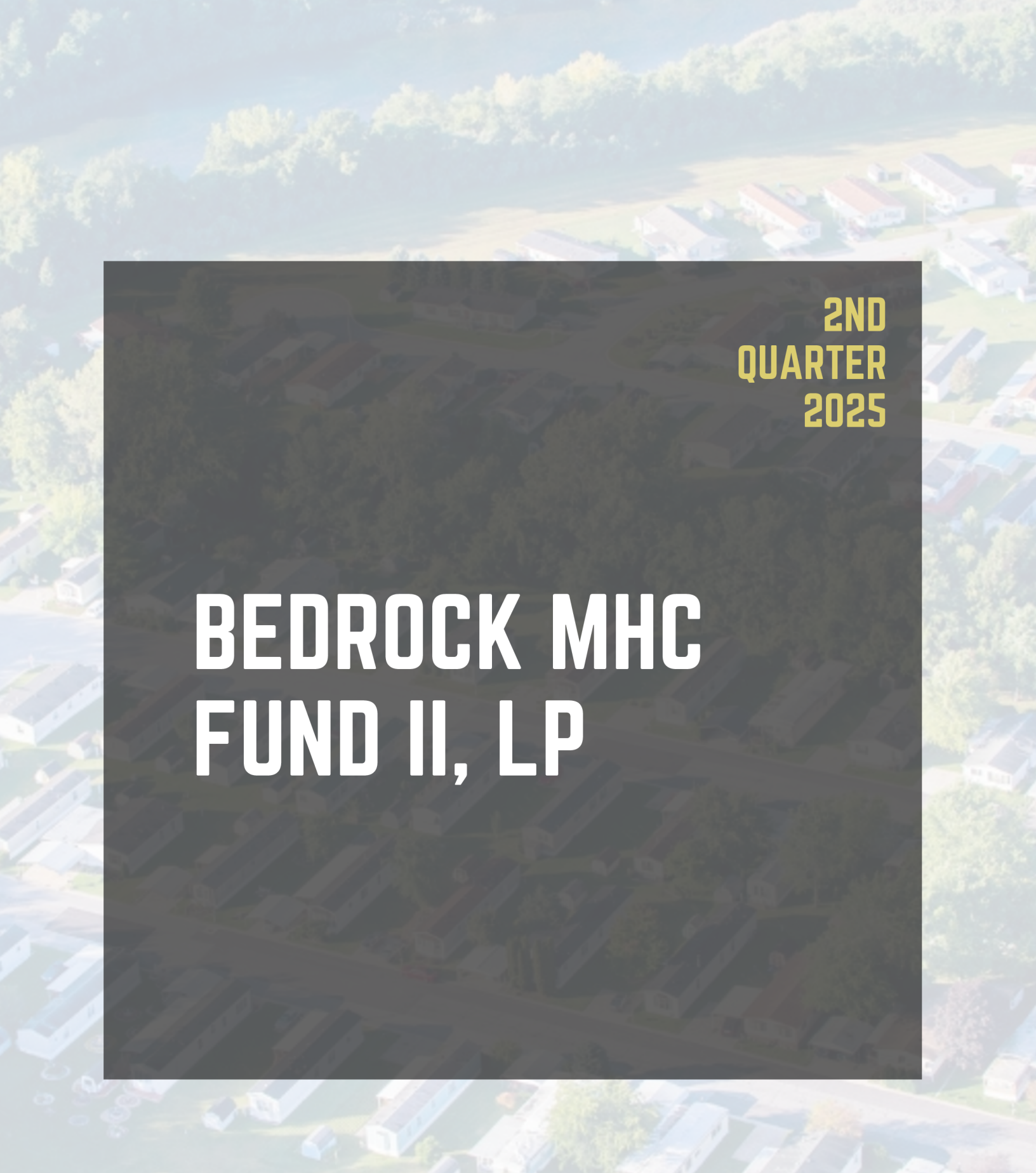


2ND QUARTER 2025

BEDROCK MHC FUND II, LP

10221 RIVER ROAD #59831 POTOMAC, MD 20859

(202) 838-6471

To Our Partners,

We hope this letter finds you well. Across the U.S., the economy has softened in recent months—marked by sluggish GDP growth, persistent inflationary pressures, and declining consumer confidence. Additionally, increased borrowing costs due to ongoing Federal Reserve rate hikes and tightening credit conditions have collectively heightened economic uncertainty, creating an opportune moment for strategic divestments to capitalize on current asset valuations and market resilience.

Given our portfolio's concentration in the Southeast and Florida specifically, we continue to observe the softening of the dramatic price surges seen during the pandemic era. Elevated mortgage rates—hovering consistently between 6.5–6.8%—remain a significant barrier for homebuyers. Furthermore, rising insurance premiums and escalating property taxes are exerting additional financial pressure on middle-income households.

Despite these headwinds in the housing sales market, Florida's rental sector continues to exhibit notable resilience. Median rents across the state—from approximately $2,000 in Orlando to $3,000 in Miami—have experienced modest declines of about 1–6% from April to May. Vacancy rates have incrementally increased, reflecting a balancing supply. However, robust population growth, strong employment opportunities, and the persistent unaffordability of homeownership continue to sustain renter demand. Notably, as of late 2024, only around 11% of renter households could feasibly afford median-priced homes with typical financing, underscoring the critical role of rental housing as a durable and essential market segment.

Several transformational affordable housing projects have gained momentum in Florida during Q2:

Orlando's Palm Gardens: A $58M Accelerate Orlando project converted a former hotel into 150 efficiency and one-bedroom units designated for households earning at or below 80% of the area median income, including 15 permanent supportive housing units, exemplifying effective adaptive reuse.
Disney's Horizon West Endeavor: Disney is actively developing nearly 1,400 mixed-income homes near Orlando—including over 1,000 affordable units aimed primarily at hospitality sector workers. This initiative highlights increased corporate commitment to workforce housing.
Gainesville and Alachua County: Two motels are being transformed into 67 permanent supportive housing units targeted toward vulnerable residents, with completion anticipated by September 2025. This initiative aligns directly with municipal efforts to combat homelessness through adaptive redevelopment.
Additionally, Florida's state-level legislation, specifically the "Live Local Act" (SB 102, effective July 2023), facilitates the conversion of commercial properties to residential use and provides critical incentives and tax credits, significantly enhancing the feasibility of affordable housing projects.

Consequently, investment momentum is accelerating into multifamily and affordable housing developments, supported by adaptive reuse projects and bolstered by proactive legislative measures from local and state governments:
Accelerate Rental & Affordable Development: With the single-family market plateauing, multifamily rental and affordable housing sectors, particularly within high-growth Florida metros, present substantial opportunities. Embrace Adaptive Reuse: The success of Orlando's Palm Gardens and the Gainesville motel conversions underscores the effectiveness and potential of repurposing underutilized buildings for affordable housing. Leverage Facilitative Legislation: Measures such as SB 102 significantly lower land-use barriers and enhance political and economic viability for affordable housing initiatives.

With these broader economic headwinds affecting both the global and national economy, we are entering the second half of the year actively preparing our assets for potential sale opportunities. Given the sustained resilience and attractiveness of our specific markets in the Southeast and Florida, strategic divestment will allow us to realize favorable valuations and generate beneficial returns, facilitating the return of capital and profits to our investors and ultimately closing down the fund.

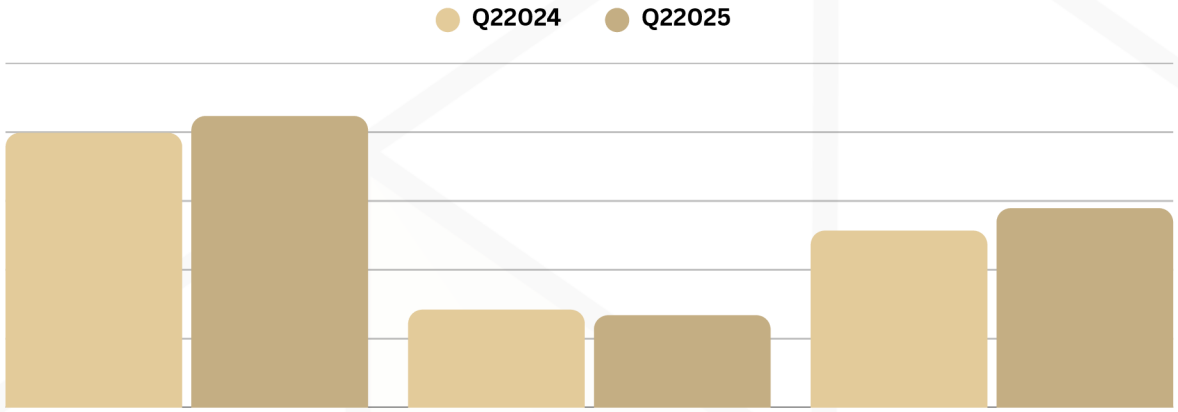
Lastly, as an update on your year-end tax documents, our accounting team has completed initial reviews, and tax returns are currently in partner review. We are actively working to finalize and distribute these documents as soon as possible. Despite minimal transactional activity in 2024, we are ensuring that, with the fund's final years approaching, we fully assess the portfolio from a disposition perspective. This careful review aims to guarantee we understand all implications and can execute dispositions in the most beneficial manner for all involved.

Thank you for your continued partnership and trust. We look forward to discussing these developments and strategic considerations further.

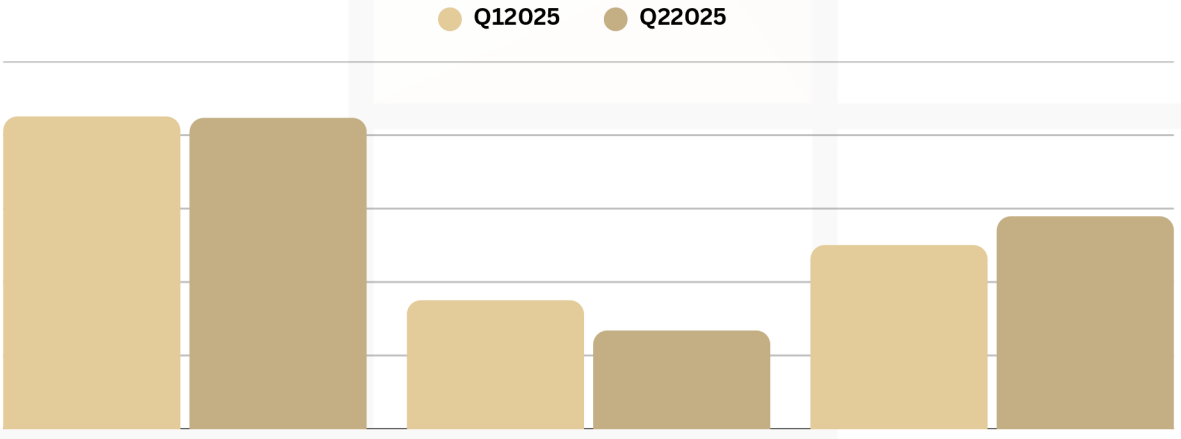
Have A Great Summer

FINANCIAL UPDATE

Net operating income was up 9% year over year, primarily due to our increase in revenue. Revenue increased as a result of our annual rent increases as well as occupancy across the portfolio has improved. Expenses were higher year over year due to higher utility costs.



Net operating income was up 8% quarter over quarter. The drivers that lead to this improvement was an increase in occupancy as well as a reduction in expenses in office & admin, travel and insurance.



FINANCIAL UPDATE

Main factors that had an effect on our financials:

REVENUE FACTORS

RENTAL INCOME



Rental Income was up roughly 3% quarter over quarter.

UTILITY INCOME



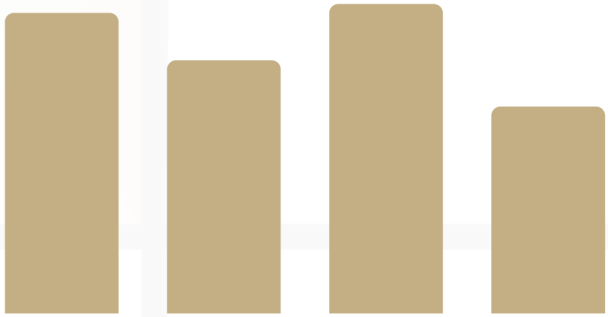
Utility income looks to be lower however this correlates with our lower utility expense

REIMBURSEMENTS



The spike in Q3 of 2024 was related to our tax reimbursement collections which we expect to see again in the 3rd quarter of 2025

MISC & FEES

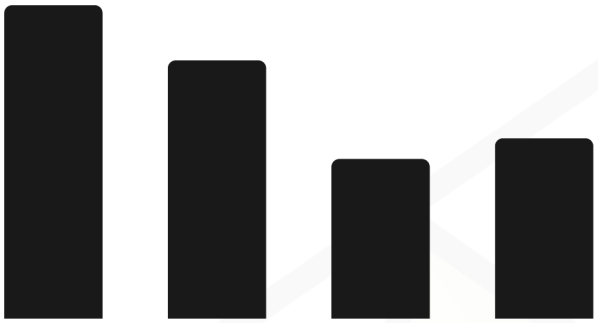


Consistently in line with expectations as these are miscellaneous fees we do not budget for

FINANCIAL UPDATE

EXPENSE FACTORS

LEGAL



Legal & Professional fees were up last quarter as expected for professional services for tax prep and distribution of new leases for residents.

UTILITIES



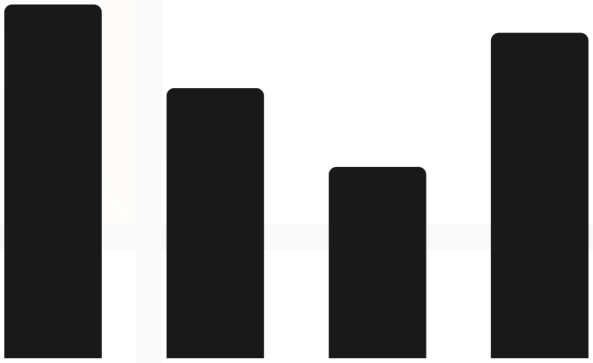
Utilities remain constant with a slight decrease in the second quarter in the cooler months.

MARKETING



We saw a decrease in marketing as we increase our efforts shown by the increase in occupancy gained in the first quarter.

R&M



As mentioned in the introduction of we have preemptively started to prepare for hurricane season as well as fix up the assets for disposition

OPERATIONAL UPDATE

During the second quarter of 2025, we continued to focus on strengthening property-level performance with an emphasis on collections, tenant retention, and infrastructure readiness. Our operational teams have been fully engaged in driving progress across key communities.

BAY OAKS VILLAGE I & II



As we continue to improve these communities from an infrastructure and enforce our standards for residents in the communities we kicked off the final project we had in our business plan to redo the roads in both communities. This is a significant infrastructure improvement that enhances both appearance and drivability throughout the communities.

LAMBERTON LAKE



After the winter months we were ready to kick off several capital expenditure projects. We've launched retaining wall and driveway improvement project as well as completed the exterior painting of the community office as well as the maintenance and other community buildings kicking off a broader clean up initiative.



Lot 22 was sold in as-is condition. As we have a couple more homes in the community we have actively started reviewing the entire POH inventory to determine whether to pursue as-is sales or initiate rehab.

LAKE WALES

Consistent with our overall initiatives operationally we focused on the image of the community. In the back of the community, trees were cleared, and a new fence was installed to improve the perimeter aesthetics and security. General community clean-up has been completed.



The completion of Unit 29's rehab has been completed, and we have begun the process to turn Lot 30.

OCEANAIRE

Rehab was completed on Lot 95, which is now available for rent. Lot 71, recently returned to us post-eviction, was successfully sold. Additionally, the property wall was power washed and painted, contributing to a more polished and inviting entry appearance.



TOWN & COUNTRY

All roadwork was completed during the quarter, improving accessibility and visual condition. New front signage was also installed, and we've issued a bid for an upcoming front wall project to further enhance curb appeal.



WESTWOOD

Two septic tanks were replaced to address infrastructure needs, and new sod was installed following that work to restore and beautify the impacted areas.

As we complete the projects across the portfolio, we have begun to put final touches by updating our signage packages. Signage packages have been upgraded at Everglades, Royal Palm, and Ormond Beach,